– Danny Power (Emily’s father)

Entering financial therapy

The plan that my father and I sketched out had two goals: to wipe out debt, and then to supercharge my savings to pay a deposit on a modest property as quickly as possible.

We identified three main areas where I was behaving like a money muppet:

- **Credit card**
  I was misusing mine, repaying the minimum amount each month, not clearing the debt, and – worst – taking out cash advances, which are often charged above 20 per cent interest. The interest on a cash advance accrues immediately – unlike purchases, on which interest is added at the end of the billing cycle – and often carries brutal fees.
- **Savings fail**
  A rule of thumb is that you should be squirrelling away at least ten per cent of income in untouched savings. Some experts say you should simply save whatever you can. Either way, I wasn’t saving a cent.
- **Budget blunder**
  I was living a lifestyle of someone earning much more than I did, without understanding how much was left over after bills and necessary expenses. I didn’t have a blueprint for where the money needed to go, and what needed to remain after my obligations were paid.

The outline of the plan was simple:

The Pocket Money Savings Plan

Weekly salary

Minus